AR
2EB

ALAMEDA RESEARCH
2: ELECTRIC BOOGALOO
LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

22 July 2026 · the qualitative

Chipotle Mexican Grill

$32.98

NYSE : CMG · Mature-Company DCF

$42.94B mkt cap · 1.30B sh · $1.05B cash, zero debt · Net cash ~$1.05B, no funded debt; ~1.30B fully-diluted shares (50:1 split-adjusted) — solvency a non-issue; Revenue $11.93B FY25 (+6%); GAAP op margin 16.2% (off the 16.9% peak); FCF ~$1.4B (~12%), capex ~11-12% on new units; Down ~14% YTD / ~36% TTM near the 52-week low ($29.75-$58.42); ~30x FCF, cheapest in years

THE CENTRAL QUESTION

As comps inflect barely positive while restaurant-level margin compresses, does the 4,100→7,000 unit runway re-rate the stock, or is ~30x FCF already full?

Chipotle trades at ~$41.96B (~$32.23, down ~14% YTD / ~36% TTM, near the 52-week low) — ~30x FCF on $11.93B revenue, net cash, GAAP op margin 16.2% off a 16.9% peak. Q1'26 comps just turned positive (+0.5%, traffic-led, no price), but restaurant-level margin fell 250bps as management declines to fully price mid-single-digit inflation to defend value. The bull is the unit runway (~4,100 → 7,000 NA) plus throughput/automation; the bear is a maturing concept with structurally low-single-digit same-store growth at a premium multiple. The weighted DCF lands -4.8% — the modal base (-5.5%) only reaches about today's price; the runway is real, the multiple already pays for it.

PROBABILITY-WEIGHTED EXPECTED VALUE

$30.68 expected fair value today
-7.0% vs spot $32.98

FORWARD COMPOUNDED VALUE

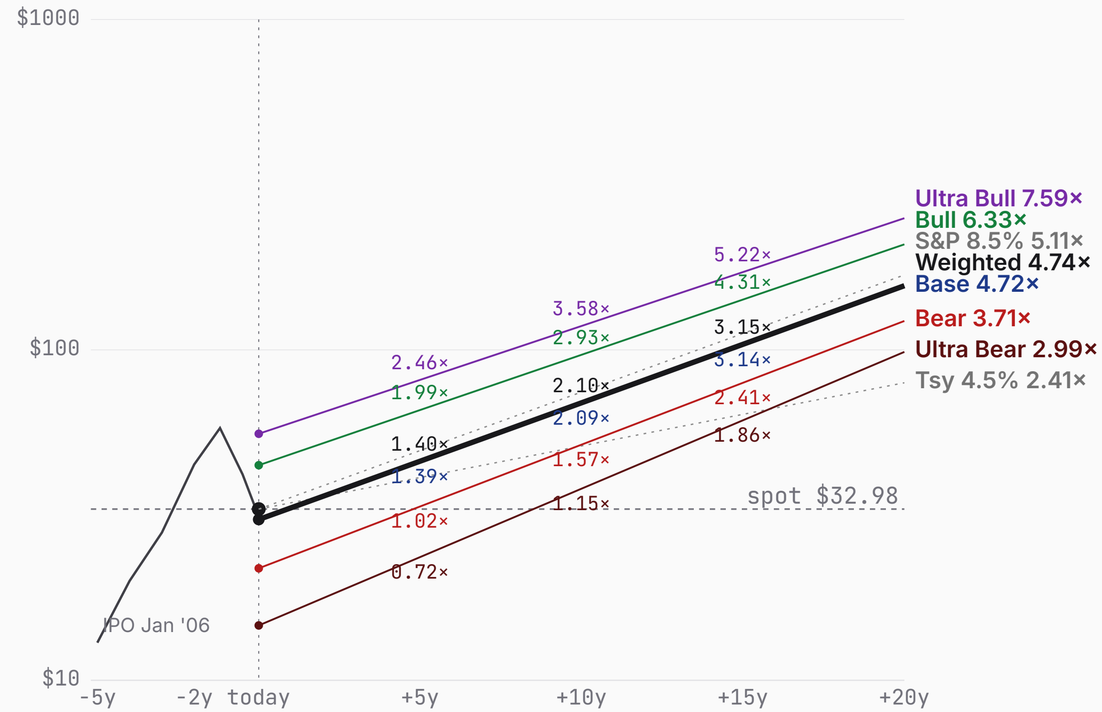
+5y	+10y	+15y	+20y
$46.05	$69.17	$103.97	$156.41
1.40× spot	2.10× spot	3.15× spot	4.74× spot

WEIGHTING RATIONALE

Ultra Bear 13% Comps roll over and margin slides; ~$14.66 (-54%).
Bear 27% Units grow but same-store stays sluggish; ~$21.83 (-32%).
Base 34% Runway delivers at low-single-digit comps; ~$30.47 (-5.5%).
Bull 18% Throughput inflects, comps and margin lift; ~$44.77 (+39%).
Ultra Bull 8% Full runway plus automation; ~$55.75 (+73%).

Bull (18%) + Ultra Bull (8%) together contribute $12.52 — 41% of the $30.68 expected value despite 26% combined probability. Today's spot ($32.98) sits 7% above the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR	BEAR	BASE	BULL	ULTRA BULL
$14.66	$21.83	$30.47	$44.77	$55.75
-55.5% vs spot	-33.8% vs spot	-7.6% vs spot	+35.7% vs spot	+69.0% vs spot
CAGR +3.0% WACC 10.0%	CAGR +5.4% WACC 9.0%	CAGR +7.8% WACC 8.5%	CAGR +10.0% WACC 8.0%	CAGR +11.8% WACC 7.8%
CAGR +3.0% Prob 13%	CAGR +5.4% Prob 27%	CAGR +7.8% Prob 34%	CAGR +10.0% Prob 18%	CAGR +11.8% Prob 8%
Comps roll over; margin keeps sliding.	Units grow; same-store stays sluggish.	Runway delivers; comps low-single-digit.	Throughput inflects; comps and margin lift.	Full runway plus automation; FCF machine.

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Chipotle Mexican Grill scenario narratives

PROBABILITY WEIGHTS

Ultra Bear 13% Bear 27% Base 34% Bull 18% Ultra Bull 8% · Weighted expected $30.68 (-7.0% vs spot)

ULTRA BEAR $14.66

-55.5% vs spot

Probability 13%

Comps roll over; margin keeps sliding.

WHY 13%

The genuine bear: comps were negative three straight quarters into Q1'26, the +0.5% carries no price, and the 250bps margin cut shows inflation isn't being recovered. 13% on the inflection failing and value-wars biting.

WHAT HAPPENS

Value-perception softness wins: traffic gives back the +0.5% inflection, same-store sales go flat-to-negative, and beef/freight/labor inflation that management won't price keeps restaurant-level margin grinding below 23% toward a low-14% company op margin. The unit machine keeps opening but de-levers a softening top line, so FCF margin slips toward ~10%.

A maturing premium QSR whose comps and margins are both eroding earns a low-single-digit-growth, ~13x terminal FCF multiple → DCF ~$14.66 (-54%). Net cash floors the equity but cannot offset a stalled same-store engine.

BEAR $21.83

-33.8% vs spot

Probability 27%

Units grow; same-store stays sluggish.

WHY 27%

Unit growth continues but soft comps + value-perception drag + unrecovered inflation keep the P&L flat. 27% as the plausible 'opens stores but doesn't re-accelerate' path, given the comp history and the guide-to-flat.

WHAT HAPPENS

Units keep opening toward the 7,000 runway but same-store sales stay low-single-digit and traffic-led, while inflation the brand won't fully price holds restaurant-level margin around recent levels rather than recovering. Revenue compounds ~5% to ~$15B at a ~12% FCF margin — the runway is real, the comp engine and margin lift are not.

DCF ~$21.83 (-32%) — a slowing-comp grower at a still-rich multiple is worth meaningfully below today's price; the discount is warranted if same-store growth stays structurally low and margins don't re-expand.

BASE $30.47

-7.6% vs spot

Probability 34%

Runway delivers; comps low-single-digit.

WHY 34%

Requires the unit runway to convert at roughly today's unit economics with low-single-digit comps — consistent with the 'Recipe for Growth' plan, not a step-change re-acceleration. 34% as the central, near-fair outcome.

WHAT HAPPENS

The modal path: openings run at the high end (~350-370/yr) toward the 7,000 NA target, comps settle low-single-digit, and restaurant-level margin stabilizes near current levels as throughput and the Hyphen makeline offset some inflation, lifting FCF margin toward ~14%. Revenue compounds ~8% to ~$17B.

DCF ~$30.47 (-5.5%) — roughly fair. A ~10% unit runway is genuinely valuable, but at ~14% terminal FCF margin and a ~19x EV/FCF the modal case only recovers to about today's spot; ~30x FCF already prices the runway in.

BULL $44.77

+35.7% vs spot

Probability 18%

Throughput inflects; comps and margin lift.

WHY 18%

Throughput/automation plus a sustained traffic turn is credible given the brand's ~$3M AUV and the makeline tests. ~18% on the operational lift compounding rather than fading.

WHAT HAPPENS

The traffic inflection holds and compounds: digital, the Hyphen automated makeline, and throughput initiatives lift transactions and restaurant-level margin back toward the high-25s even before price, units accelerate toward 7,000, and FCF margin climbs past 15%. Revenue compounds ~10% to ~$18-19B.

DCF ~$44.77 (+39%) — if comps re-accelerate and automation widens unit margins as the base expands, the franchise re-rates with its fundamentals; this is the core of the bull.

ULTRA BULL $55.75

+69.0% vs spot

Probability 8%

Full runway plus automation; FCF machine.

WHY 8%

Everything works — comps AND automation margins AND the full unit runway AND international, the premium-compounder outcome. ~8%, the long-duration tail.

WHAT HAPPENS

The full second act: the 7,000 NA runway plays out at high-end unit economics, automation (Hyphen) and digital structurally lift margins past 19% op / ~17% FCF, and international (Mexico, Korea/Singapore JV) opens a fresh capital-light leg. Revenue compounds ~12% to ~$20B and Chipotle reclaims a premium-compounder multiple.

DCF ~$55.75 (+73%) — best-in-class brand, automation-led margins, and a global runway re-rated together; ~8% probability, the asymmetric upside the de-rated entry is buying.

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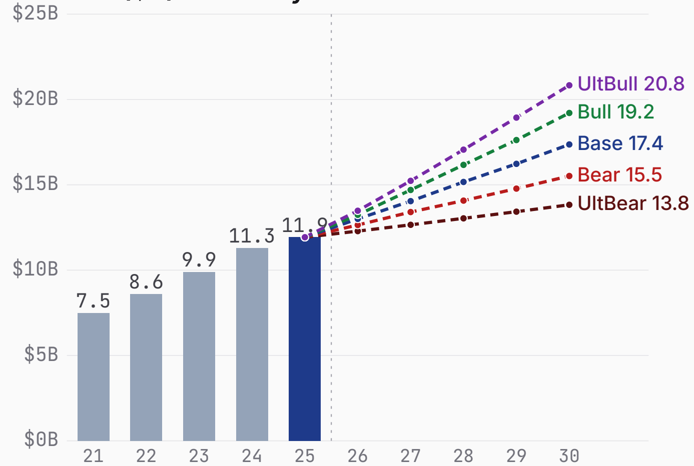
22 July 2026 · the snapshot

Chipotle Mexican Grill business snapshot

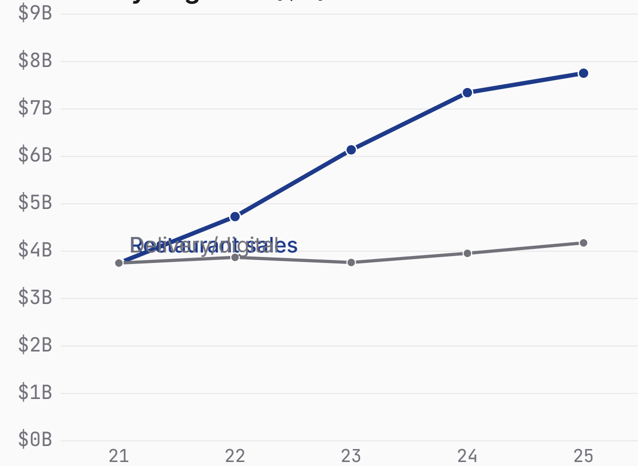
Bear $21.83 Base $30.47 Bull $44.77

FY21-FY25 history + FY26-FY30 scenario projections · fiscal years end Dec · Q1 FY2026 results

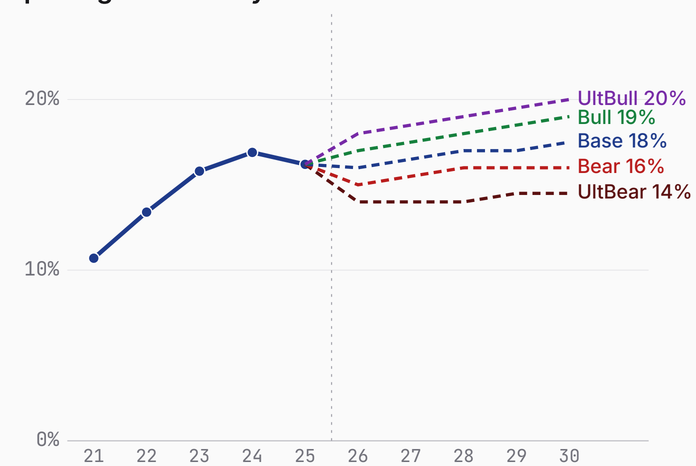
Revenue ($B) — history + scenarios to FY30



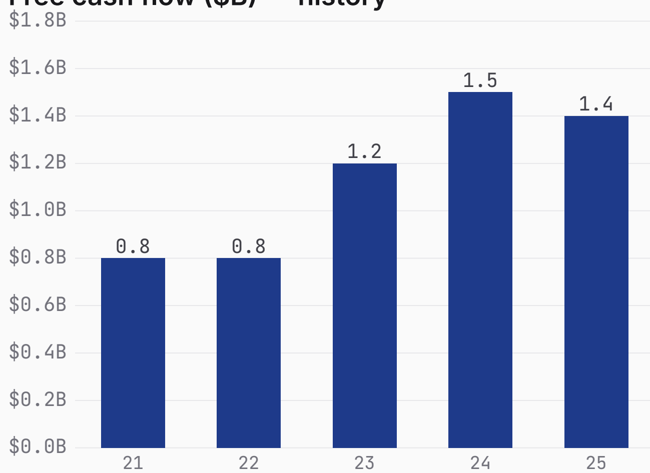
Revenue by segment ($B)



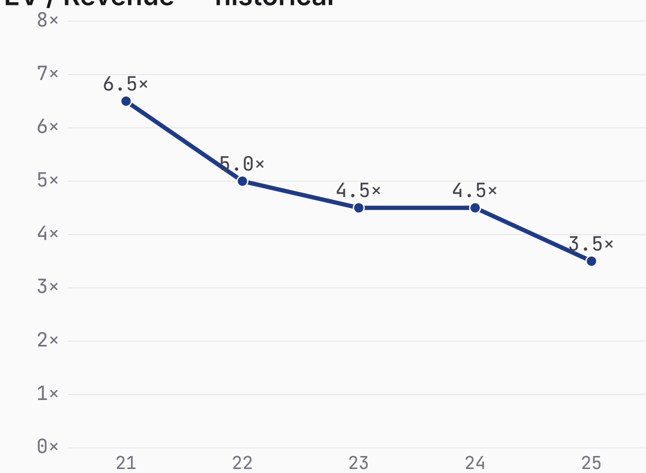
Op margin — history + scenarios



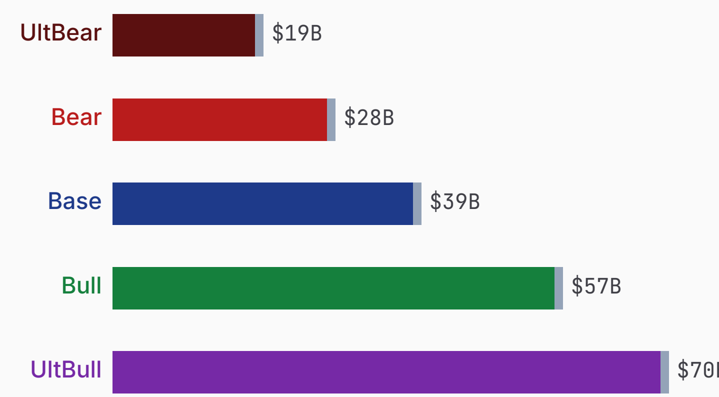
Free cash flow ($B) — history



EV / Revenue — historical



Equity build (Op EV + net cash)



Op EV · cash · special assets

Sources: SEC XBRL company facts (CIK 1058090), Chipotle Q1 FY2026 release (Apr 29 2026: revenue $3.1B/+7.4%, comps +0.5% traffic-led, restaurant-level margin 23.7% (-250bps), ~4,100 units, ~7,000-unit NA target). Revenue modeled as a growth-rate path off FY25; FCF = revenue x FCF margin; Gordon terminal at scenario WACC. Multiples vs SHAK/CAVA/WING/MCD.

Chipotle Mexican Grill 7 Powers · the moat, scored

Bear $21.83 Base $30.47 Bull $44.77

Arena. Premium fast-casual / fast food — Chipotle (the premium QSR brand, ~$3M AUV, ~4,100 company-owned units) vs Cava, Shake Shack, Wingstop and the QSR value set (McDonald's, Taco Bell); auditing a brand Power against QSR value-wars and value-perception softness.

POWER AUDIT
dominant-power durability: high

POWER AUDIT · 7 POWERS

Scale Economies — ~$12B revenue, ~4,100 company-owned units → real sourcing/marketing/G&A leverage and a self-funded build; second only to branding here.

Network Economies — None - restaurants aren't networks; the app/loyalty is a channel, not a network effect.

Counter-Positioning — Was the 'food with integrity' fast-casual disruptor; now the scaled incumbent, so this has faded.

Switching Costs — Near-zero - dining is promiscuous; loyalty/digital nudges repeat but every meal is a fresh decision.

Branding · thesis leans here — The dominant Power: a best-in-class premium QSR brand with ~$3M AUV well above peers and genuine pricing power - though it's choosing not to fully exercise it to defend value.

Cornered Resource — Prime real estate, supply relationships and recipe/operations IP; valuable but not truly cornered.

Process Power — Throughput discipline and Hyphen makeline automation - a real emerging lever but unproven at the 7,000-unit scale; the bull's swing factor.

PEER SET

Cava (CAVA) — 25% gr · 12% mgn · ~46x EV/EBITDA
The fast-casual growth darling; richest multiple in the set, the unit-growth comp Chipotle is benchmarked against.

Shake Shack (SHAK) — 6% gr · 4% mgn · ~13x EV/EBITDA
Premium 'better burger', smaller and thinner-FCF; a same-archetype premium-brand unit-growth comp.

Wingstop (WING) — 11% gr · 25% mgn · ~37x EV/EBITDA
Asset-light franchise compounder; richly valued but wobbling - Q1'26 domestic SSS -8.7%.

McDonald's (MCD) — 5% gr · 45% mgn · ~25x P/E
The QSR value benchmark; the value-wars/trade-down pressure on Chipotle's premium pricing.

THREAT VECTORS · FALSIFIERS

Branding · QSR value-wars / trade-down (McDonald's, Taco Bell value menus)
falsifier: Comps stay flat-to-negative as premium pricing loses to value in a soft consumer and value-perception softens.

Scale Economies · Beef/freight/labor inflation management won't fully price
falsifier: Restaurant-level margin falls further below ~23%, rolling back the unit economics the runway needs.

Process Power · Cava / a crowded fast-casual field + throughput limits
falsifier: Same-store traffic fades and automation doesn't lift margin, so the 7,000-unit build compounds at low unit economics.

COMPETITIVE READ

Chipotle's brand Power is dominant and durable - a best-in-class premium QSR with ~$3M AUV, real scale economies across ~4,100 company-owned units, and pricing power it is deliberately not fully using to defend value. The Audit: branding is durable (high), process_power (throughput, Hyphen automation) is the emerging swing factor, and the live threats are QSR value-wars / value-perception softness plus unrecovered beef/labor inflation that just cut restaurant-level margin 250bps. The franchise quality isn't in question; the price is. Comps barely turned positive (+0.5%, no price) while the stock still trades ~30x FCF, and the weighted DCF lands -4.8% - the unit runway is real and the brand is excellent, but the modal case (-5.5%) shows the multiple already pays for the runway, leaving the upside in the bull/ultra automation-and-comps re-acceleration.

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

22 July 2026 · the quantitative

Chipotle Mexican Grill show your work

Bear $21.83 Base $30.47 Bull $44.77 · Weighted $30.68 (-7.0%)

ULTRA BEAR $14.66

ASSUMPTIONS

5y revenue CAGR (%)	+3.0
Year-5 op margin (%)	14.5
WACC (%)	10.0
Terminal growth (%)	2.5
Terminal FCF ($B)	$1.52B
Starting revenue ($B)	11.93
Scenario probability (%)	13

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	12.29	+14%	+1.23	+1.12
FY27	12.66	+14%	+1.27	+1.05
FY28	13.04	+14%	+1.30	+0.98
FY29	13.43	+14%	+1.48	+1.01
FY30	13.83	+14%	+1.52	+0.94

Σ PV explicit FCF	+5.10
+ PV terminal (g 2.5%)	12.91

EQUITY BUILD · $B & PER SHARE

Operating EV	$18.01B
+ Cash & investments	$1.05B
= Equity value	$19.06B
FY30 shares (M)	1,300
= Expected per share	**$14.66**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$23.61	$38.02	$61.24	$98.63
0.72×	1.15×	1.86×	2.99×

BEAR $21.83

ASSUMPTIONS

5y revenue CAGR (%)	+5.4
Year-5 op margin (%)	16.0
WACC (%)	9.0
Terminal growth (%)	3.0
Terminal FCF ($B)	$1.86B
Starting revenue ($B)	11.93
Scenario probability (%)	27

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	12.65	+15%	+1.39	+1.28
FY27	13.40	+16%	+1.54	+1.30
FY28	14.07	+16%	+1.69	+1.30
FY29	14.78	+16%	+1.77	+1.26
FY30	15.52	+16%	+1.86	+1.21

Σ PV explicit FCF	+6.34
+ PV terminal (g 3.0%)	20.77

EQUITY BUILD · $B & PER SHARE

Operating EV	$27.11B
+ Cash & investments	$1.05B
= Equity value	$28.16B
FY30 shares (M)	1,290
= Expected per share	**$21.83**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$33.59	$51.68	$79.52	$122.34
1.02×	1.57×	2.41×	3.71×

BASE $30.47

ASSUMPTIONS

5y revenue CAGR (%)	+7.8
Year-5 op margin (%)	17.5
WACC (%)	8.5
Terminal growth (%)	3.0
Terminal FCF ($B)	$2.43B
Starting revenue ($B)	11.93
Scenario probability (%)	34

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	13.00	+16%	+1.56	+1.44
FY27	14.04	+17%	+1.76	+1.49
FY28	15.17	+17%	+1.97	+1.54
FY29	16.23	+17%	+2.19	+1.58
FY30	17.37	+18%	+2.43	+1.62

Σ PV explicit FCF	+7.67
+ PV terminal (g 3.0%)	30.28

EQUITY BUILD · $B & PER SHARE

Operating EV	$37.95B
+ Cash & investments	$1.05B
= Equity value	$39.00B
FY30 shares (M)	1,280
= Expected per share	**$30.47**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$45.82	$68.89	$103.59	$155.76
1.39×	2.09×	3.14×	4.72×

BULL $44.77

ASSUMPTIONS

5y revenue CAGR (%)	+10.0
Year-5 op margin (%)	19.0
WACC (%)	8.0
Terminal growth (%)	3.5
Terminal FCF ($B)	$2.98B
Starting revenue ($B)	11.93
Scenario probability (%)	18

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	13.24	+17%	+1.72	+1.59
FY27	14.70	+18%	+2.06	+1.76
FY28	16.17	+18%	+2.35	+1.86
FY29	17.62	+19%	+2.64	+1.94
FY30	19.21	+19%	+2.98	+2.03

Σ PV explicit FCF	+9.19
+ PV terminal (g 3.5%)	46.62

EQUITY BUILD · $B & PER SHARE

Operating EV	$55.81B
+ Cash & investments	$1.05B
= Equity value	$56.86B
FY30 shares (M)	1,270
= Expected per share	**$44.77**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$65.78	$96.66	$142.02	$208.67
1.99×	2.93×	4.31×	6.33×

ULTRA BULL $55.75

ASSUMPTIONS

5y revenue CAGR (%)	+11.8
Year-5 op margin (%)	20.0
WACC (%)	7.8
Terminal growth (%)	3.5
Terminal FCF ($B)	$3.54B
Starting revenue ($B)	11.93
Scenario probability (%)	8

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	13.48	+18%	+1.89	+1.75
FY27	15.23	+19%	+2.29	+1.97
FY28	17.06	+19%	+2.73	+2.18
FY29	18.94	+20%	+3.13	+2.31
FY30	20.83	+20%	+3.54	+2.43

Σ PV explicit FCF	+10.64
+ PV terminal (g 3.5%)	58.55

EQUITY BUILD · $B & PER SHARE

Operating EV	$69.19B
+ Cash & investments	$1.05B
= Equity value	$70.24B
FY30 shares (M)	1,260
= Expected per share	**$55.75**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$81.16	$118.15	$172.00	$250.39
2.46×	3.58×	5.22×	7.59×

Chipotle Mexican Grill People · Opportunity · Context · Deal

Bear $21.83 Base $30.47 Bull $44.77

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Scott Boatwright

2 yrs in seat

1%
insider ownership

MEDIUM
key-person risk

Capital allocation (realized)
Scott Boatwright became CEO in November 2024 (interim from August 2024, after Brian Niccol left for Starbucks); an internal promotion, not a founder. The balance sheet is net cash ($0 long-term debt); FY2025 net income $1.54B on $11.9B revenue, ~$1.45B FCF, funding aggressive unit growth and a buyback-only return (a $1.8B authorization added Dec 2025; ~$2.3B repurchased in 2025), no dividend. Ackman's Pershing Square fully exited in Q4 2025.

Incentive alignment
Boatwright's pay is ~96% variable/equity (FY2024 ~$19M including transition grants; FY2025 ~$15.5M). Insider trading is routine 10b5-1 selling. The flag is say-on-pay volatility — two low votes in five years (~51% in 2021, ~55% in 2025, both on one-time equity), each followed by remediation; the 2026 vote recovered to ~95%.

GOVERNANCE FLAGS

- single class of common stock, one vote per share — no dual-class, no controlling shareholder (Ackman exited Q4 2025)
- Chair and CEO are SEPARATE, with an independent Chair (Scott Maw); 9 of 10 directors independent
- board declassified (annual elections since 2016); all committees independent
- say-on-pay volatility — two sub-60% votes in five years (2021, 2025), both remediated; a recurring pay-design watch-item
- compressed 2024-25 leadership turnover — a new CEO and a new CFO (after a ~24-year CFO) within ~18 months

> **PEOPLE READ**
> Structurally clean: single-class one-vote, a separate independent Chair, a 9-of-10 independent declassified board, net cash, no controlling holder. It sits at the lower end of the clean tier because of two real watch-items — a volatile say-on-pay record (two sub-60% votes in five years, both on one-time equity, since remediated) and a compressed CEO-plus-CFO turnover in 2024-25. Key-person risk is moderate given the recency of that turnover, offset by an internal-promote bench and a clean Niccol-to-Boatwright handoff.

THE FOUR LEGS

People ●●●●○
observable composite · 1–5

Opportunity
The scenario distribution · the business snapshot · the Arthur Indicator

Context
The 7 Powers analysis (Power Audit)

Deal
Open-market common — entry price weighed against the probability-weighted fair value (the -4.8% finding) + position sizing.

Chipotle Mexican Grill supporting analysis · disclaimers · glossary

Bear $21.83 Base $30.47 Bull $44.77

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

1 **Comps finally turned positive — isn't that the inflection?**
+0.5% is traffic-led with no price; the modal DCF is still -5.5% because ~30x FCF already embeds a re-acceleration the +0.5% doesn't clear.

2 **The 7,000-unit runway is a long compounding machine.**
~4,100 → 7,000 NA is ~10% unit growth, but the base lands ~fair because same-store growth is structurally low and the multiple already pays for it.

3 **Margin compression is the live risk, not the runway.**
RLM fell 250bps to 23.7% as management won't fully price inflation; the swing is whether unit economics (~25%+ RLM) hold while scaling.

4 **It's the cheapest Chipotle has been in years.**
True on the multiple (~30x FCF vs history), but cheap-vs-itself isn't cheap-vs-DCF; the distribution still centers slightly negative.

5 **Net cash, p_fail ~0.**
~$1.05B cash and no funded debt — no solvency risk; the downside is multiple/comp/margin, not survival.

FALSIFICATION TRIGGERS

Bull validation
comps re-accelerate with traffic (not price) · RLM recovers toward 25%+ · automation lifts throughput · openings hold toward 7,000

Bear validation
comps slide back to flat/negative 2+ quarters · RLM falls below ~23% · inflation stays unpriced and op margin drifts toward 14%

Reframe needed
if same-store growth stays structurally low AND margin can't hold ~25%, the runway compounds at low unit economics - re-rate toward a maturing QSR multiple

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Forward-looking statements.
Scenarios, valuations, projections, and any forward-looking statements involve substantial assumptions and uncertainty. Actual results may differ materially from those projected. Past performance is not indicative of future results. The model is a model; reality is not.

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Do your own research.
Do not make investment decisions on the basis of this document. Consult a licensed financial professional and read the company's official SEC filings (10-K, 10-Q, 8-K, proxy) before forming any investment view. If you wouldn't trust your retirement to a chatbot, don't trust this either.

GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

Comparable restaurant sales (comps) — Same-store sales growth at restaurants open 13+ months; Q1'26 +0.5%, traffic-led with no price - the central swing signal.

Restaurant-level margin (RLM) — Restaurant-level operating margin (non-GAAP, 23.7% Q1'26, -250bps YoY) before G&A - the unit-economics gauge that must hold ~25%+ as units scale.

AUV — Average unit volume (~$3M per restaurant) - the per-store sales base, well above QSR, that sets new-unit returns.

Hyphen / makeline automation — Automated digital makeline being tested to speed throughput and lift restaurant margin - the process lever and the bull's margin path.

FCF margin — Free cash flow / revenue (~12% FY25); the mature-DCF swing factor - whether the unit runway and automation convert to free cash flow against growth capex.